AC 547 Group Project Proposal

1. What question are we trying to answer?

Are public companies with riskier financial profiles more likely to be audited by firms that perform poorly in PCAOB inspections?

We want to examine whether companies experiencing financial difficulties, such as losses, high debt, or low liquidity, are more likely to use audit firms with higher PCAOB Part I.A deficiency rates. We will also look at whether these relationships differ based on company size and industry.

2. Why is this question important?

This question is important because companies with greater financial risks may need stronger auditing procedures. However, if these companies are being audited by firms with higher inspection deficiency rates, it raises concerns about the quality of their financial reporting.

Audit committees are responsible for selecting and overseeing external auditors, but they may not always consider PCAOB inspection results when making those decisions. Our findings could help audit committees and investors better understand the relationship between company risk and auditor inspection performance. They could also provide useful information to the PCAOB when evaluating audit quality.

3. How will we answer this question?

We will use Python to collect, clean, combine, and analyze publicly available data from three sources:

- PCAOB inspection data: We will calculate each audit firm's Part I.A deficiency rate by dividing the number of deficient audits by the total number of audits inspected.
- PCAOB AuditorSearch: We will identify which audit firms audited specific public companies.
- SEC Financial Statement Data Sets: We will collect financial information to measure company risk, including net losses, leverage, liquidity, total assets, and revenue.

After combining the datasets, we will use descriptive statistics, visualizations, and multiple regression analysis to determine whether companies with greater financial risks tend to have auditors with higher deficiency rates.

We will also account for differences in audit firm size, industry, and inspection frequency. Because PCAOB inspections are risk-based, we recognize that higher deficiency rates do not necessarily mean an audit firm provides lower-quality audits overall.

Our goal is to identify whether a relationship exists between company financial risk and auditor inspection performance, rather than prove that one causes the other.